

Chris Giles on Central Banks **Central banks**

Dovish Federal Reserve moves could make a frothy US market frothier

Cutting interest rates while equities are roaring raises financial stability risk



The US Federal Reserve's decision to cut interest rates last week is expected to spur the already buoyant equity market further © SHAWN THEW/EPA/Shutterstock

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Hello from the newsroom in London. I'm Joel Suss, FT data journalist, standing in for Chris Giles today.

Stephen Miran, the new US Federal Reserve governor currently on leave from Donald Trump's White House, [argued](#) that his decision to back a half-point cut at last week's rate-setting meeting was justified because the fed funds rate is "roughly 2 points too restrictive" and there hasn't been "any material inflation from tariffs".

This does not seem to accord with the US's loose financial conditions, above target and rising inflation, and 4.3 per cent unemployment. What am I missing? Let me know: joel.suss@ft.com.

Frothy markets get frothier

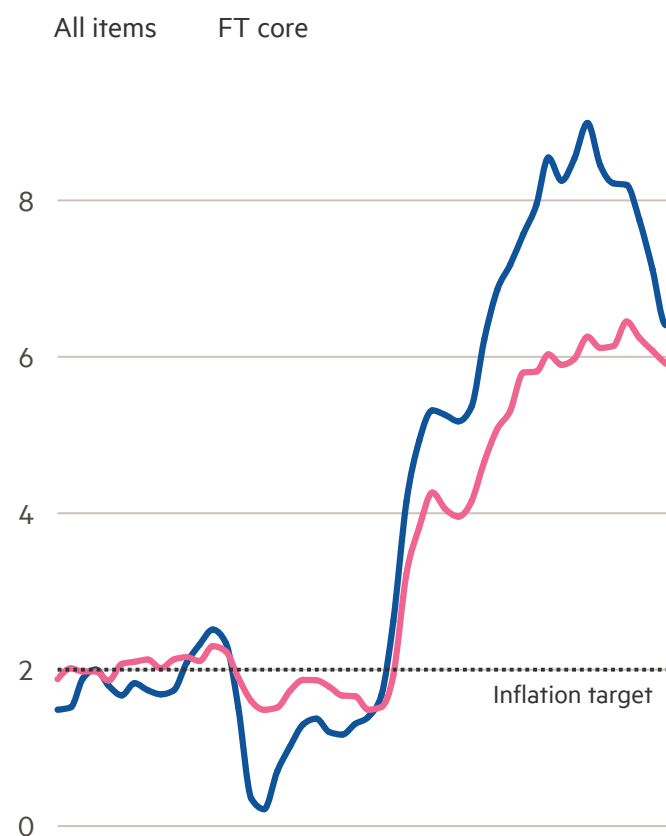
The Fed is in a tricky spot. Leaving aside the menace to its independence, the central bank faces stagflationary forces, with inflation and labour market indicators moving in opposite directions.

With CPI inflation rising over recent months — from a post-pandemic low of 2.33 per cent in April to 2.94 per cent in August — last week's cut could constitute a mistake that pushes inflation higher.

FT core — our [in-house measure of underlying inflation](#) — is also trending higher, driven in part by the increasing proportion of items rising in price, which is now far above the long-run average.

The FT's measure of core CPI inflation has settled above target

Annual rate of change (%)



Drivers of FT core for US CPI show inflation is not defeated

Annual measures (%)

Average is from 2001-2019



FINANCIAL TIMES

Source: FT calculations, BLS • FT core inflation is calculated using an ensemble model (methodology [here](#))

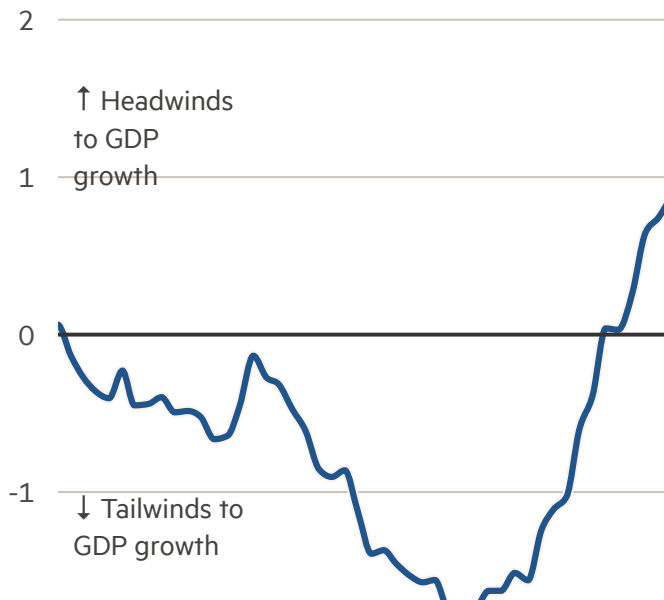
FT core inflation is calculated using an ensemble model (methodology [here](#))

And while the Fed still considers US interest rates to be in restrictive territory (though not nearly as much as does Miran), financial conditions were already loose and loosening sharply ahead of last week's rate cut, thanks in large part to buoyant US equities.

Spurring on inflation is not the only concern. The Fed's move last week is expected to egg on equities further. And with stock valuations already signalling a potential bubble, financial stability risk is rising.

US financial conditions are loose and loosening, even though Fed rates are considered ‘moderately’ restrictive

Contributions to GDP growth over the next year (% points). Negative values mean financial conditions are expected to boost GDP growth in the year ahead, and vice versa

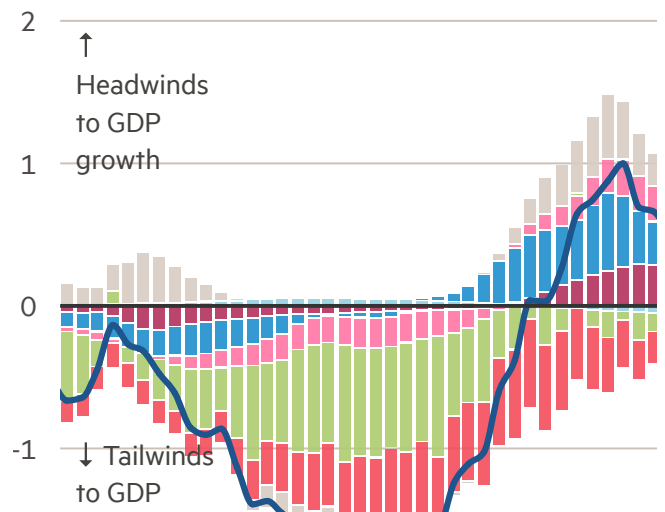


Loose US financial conditions are being driven by a buoyant stock market

Contributions to financial condition index by category

Solid line is annual headline inflation (%)

FCI FFR 10-year Treasury
Mortgage rate BBB Stock market
House prices Dollar



FINANCIAL TIMES

Source: [Federal Reserve](#)
FT graphic: Joel Suss

With the S&P 500 back at record highs after Trump’s “liberation day” shock, a frothy market may soon get frothier. Is it a bubble and, if so, when will it burst? These are questions only answerable with hindsight. But what is clear is that the Magnificent Seven megacap tech stocks are driving the market higher. Meanwhile, price-to-earnings ratios are near dotcom levels, [according to the BIS](#). And the revolutionary promise of artificial intelligence seems premature.

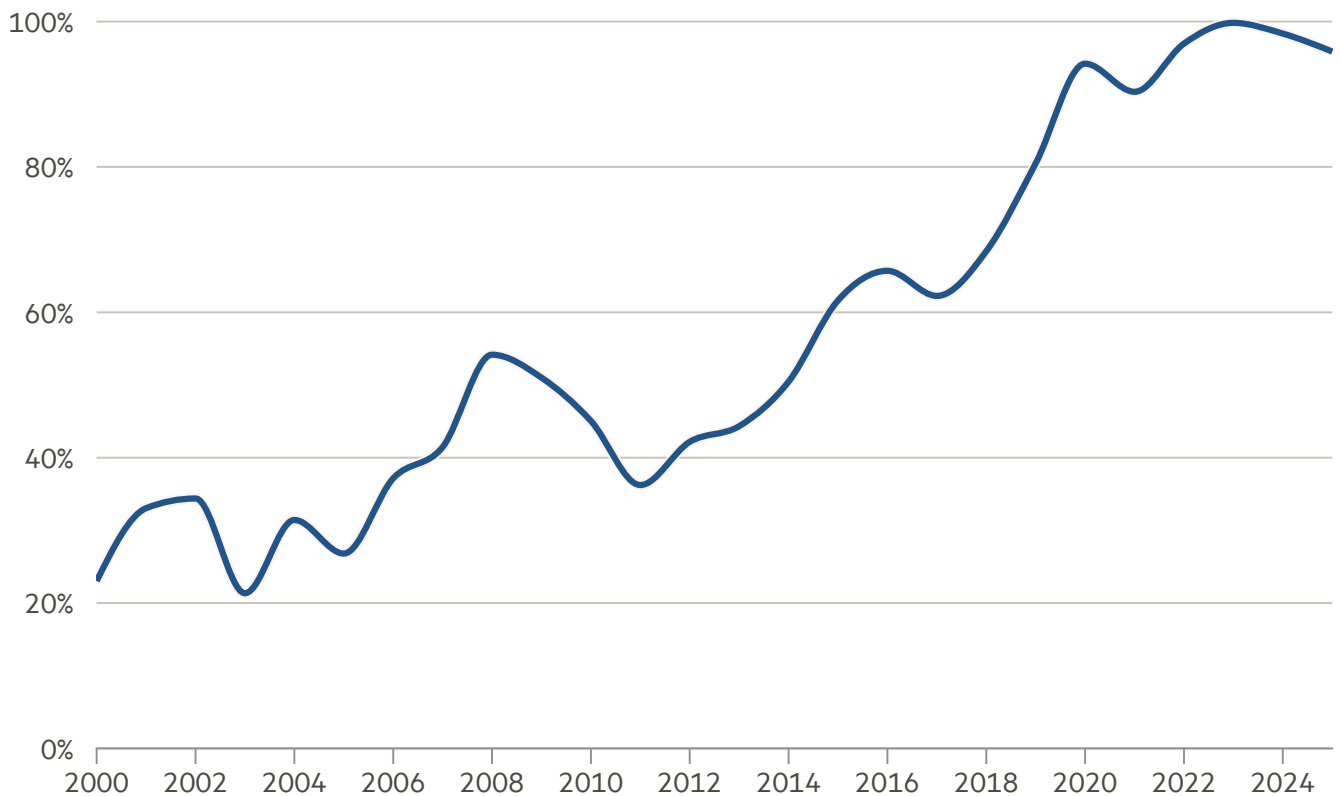
Gary Marcus, prominent AI scientist and critic, has for some time been warning that current technology is reaching [fundamental limits](#) that fall well short of promised superintelligence. Even Meta chief executive Mark Zuckerberg concurred in a recent podcast appearance. He said an AI bubble akin to dotcom was “quite possible”, although that would mean opportunities to acquire cheap distressed assets, he added.

A clearer sign of [rising financial froth is in listed crypto hoarding companies](#), many of which purchase bitcoin and other cryptocurrencies via equity and debt from already highly leveraged hedge funds. Lots of these companies’ share prices have now [fallen below the market value of their crypto holdings](#) (their answer to which is often to take on more debt).

How worried should we be? In its April financial stability report, the Fed highlighted the country’s healthy household and bank balance sheets. This is certainly not the US before the global financial crisis. But the fallout from a burst tech or crypto bubble could still cause widespread damage. This is especially true when considering that a lot of risk sits opaquely outside, but interconnected with, the traditional financial system, in the form of highly leveraged “business development corporations” [and other private credit](#) vehicles.

'Business development corporation' leverage has been rising

Debt-to-equity



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Source: [B](#)

Regulatory independence

Another under-appreciated risk to financial stability has grown in plain sight. Much has been said since Trump's re-election about threats to Fed independence, but the concerns have mainly revolved around monetary policy and the risk of rampant inflation.

Threats to Fed regulatory and supervisory independence also present clear risks.

World Bank and Bank of England academics [developed a regulatory independence index](#) that assesses countries based on variables such as laws around removal and tenure of the regulatory agency head and autonomy in technical rule-setting for banks.

Unsurprisingly, regulatory independence correlates with financial stability, with banks having substantially fewer non-performing loans when independence is high.

While the Fed is fighting hard to keep its monetary policy independence, it has arguably acquiesced to Trump on the regulatory front. Just before the US president's inauguration, Michael Barr [announced he would resign](#) as Fed vice-chair for supervision owing to “risk of a dispute over the position” (although he remains on the Fed board of governors).

Michelle Bowman, Trump's pick as Barr's successor, has promised a more “pragmatic” approach to supervision. Let's hope the pragmatism does not trade off financial stability for lower Trump dispute risk.

What I've been reading and listening to

The [Swiss National Bank is unlike its peers](#) and more akin to a sovereign wealth fund. It has large holdings of US equities, including \$42bn invested in five American tech giants.

If the sources of financial instability discussed above weren't enough, the European Central Bank has a new working paper that finds experiences of [high inflation lead to higher chances of financial crises](#).

Economist Edward Yardeni writes that tensions between the Fed's employment and inflation objectives underline why the central bank's dual mandate should be repealed in favour of its [original 1913 goal to maintain financial stability](#).

Martha Gimbel of the Yale Budget Lab speaks to Claire Jones about [the history of tariffs](#) in the US and whether the revenues they raise outweigh their negative economic impact.

A chart that matters

Trump's “liberation day” tariff announcement was a major negative economic sentiment shock, as clearly seen in the FT Monetary Policy Radar's macro mood index. How did the market recover so quickly?

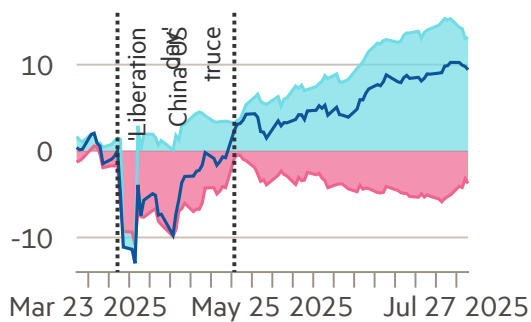
The BIS's [latest quarterly review](#) does some nifty work to decompose changes in the S&P 500 and Vix indices. In short, “adverse effects appear to have been dominated by non-tariff-related news triggering renewed optimism in risky asset markets”, with retail investors having been net buyers over the period, in contrast to institutional investors.

Negative tariff effects have been dominated by positive non-tariff news

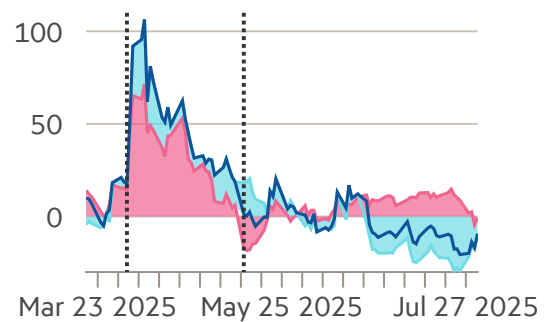
Deviation around trend (log points)

□ Data □ Tariff shocks □ Other shocks

S&P 500



Vix



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Source: BIS
FT graphic: Joel Su

Central Banks is edited by Harvey Nriapia

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